Ep #7 | Who is Kiran Mazumdar Shaw Really? And WTF is Biotech?

[Speaker 1] (0:00 - 23:48)

What does money really mean? Wealth has been about value creation. I didn't have any money either.

You've got to have hunger in your belly and you've got to have an idea which you think is exciting. When I finally decided to start Biocon, it was foolish courage and I was high risk in the eyes of everyone. I mean, I suddenly was launched into fame as India's richest woman.

Which is self-made woman. Which is even better and bigger in my opinion. Absolutely.

You still are as passionate talking about work today as you were at any other point. And what is that that keeps you going? Hi Kiran, thank you for doing this.

And I know you've been on a trip recently and you just got back. Would you like to tell us a little bit about where you went and what you did? Well, first and foremost Nikhil, thanks for having me on this show.

It's always going to be exciting talking to you about entrepreneurship. Well, I just came back from Istanbul where I actually went to see the Champions League finals which was exciting but I think predictable, Man City won. Are you a football fan?

I do enjoy football and I have been watching football over the years. My late husband John was a great football aficionado. And he got me kind of interested in the game.

And it is a wonderful game. But anyway, I also combined it with a little bit of business because Turkey is a big market for me. So I didn't feel that guilty to spoil myself with a match.

But anyway, I'm looking forward to our conversation. Yeah, so for people watching me and Kiran are really close friends who kind of hang out a lot. So this is a little bit different because we have a camera but we hang out here like...

And it's great to hang out with young friends like Nikhil. Yeah, and we have all the same friends and we do dinners and Sunday lunches. I think we know each other very well.

But this conversation I thought would be interesting because we can really get into the backstory of how you grew up, where you grew up, how did you become Kiran Mazumdar Shah from Kiran who began in Bangalore many, many years ago. So if I could ask you to throw some light on the very beginning, growing up, school, parents, maybe we can start there. Okay, well, I was born in Bangalore.

And I grew up, I did my schooling at Bishop Cotton Girls School. I then went to Mount Carmel

College for my pre-university. I joined Central College at Bangalore University for my bachelor's degree in zoology honors.

Were you born in Bangalore? I was, yes, in Bowding Hospital. Well, you know, the thing is, I actually took very different course, you know, sort of turns in my life because of things that didn't quite go the way I wanted to.

So for instance, after finishing my pre-university, I wanted to actually get into medical school. And I applied to St. John's and Bellore. I didn't get into either of them.

And when that plan didn't work, then plan B was to do a bachelor's degree and then make another attempt to get into medical college, but that never really happened in the end. And then, of course, after I finished my bachelor's degree by the way, I did top the university. I got the gold medal.

And I was kind of thinking about should I do a PhD? Because I had got an admission in London University for genetics. Or should I pursue something with applied science?

And so I sort of had a chat with my late father. And I said, look, I would like to sort of think about doing something with applied science. And what do you think I should do?

My father used to be the managing director and head brew master of United Breweries in Bangalore. He was, in fact, the original maker of Kingfisher beer. And he even christened it Kingfisher.

So he, you know, there's a legacy behind the brand. So when I asked him for that sort of suggestion, he said to me, hey, why don't you do brewing like I did? So I said, are you nuts?

I said, I'm a woman. How will I do brewing? He said, no.

He said, don't think of brewing as a male profession. I think brewing is the oldest biotechnology known to man. And if you're interested in biotechnology, I think brewing is very exciting.

And he said, you're so interested in microbiology. You're so interested in genetics and fermentation science. And I think it could be very exciting for you.

He said, so he said, why don't you go and do this brewing, master's in brewing in Australia? Because I do send a couple of brewers every year to this program at Ballarat University. So why don't you go and do it?

I'm sure if I propose you, they'll accept you as a student. So he kind of convinced me. And I don't know what got into me.

But I thought, OK, let me try this. And so I finally got admitted. And I hopped on a plane and went to Australia.

And then I found, of course, I was the only woman in the class because brewing is a male bastion. And of course, I had international colleagues in that class. But I was the only woman.

And then I got stuck into understanding brewing science. And it was quite exciting. Does brewing involve a lot of drinking beer as well?

Tasting beer, not drinking. Because that's what they make you taste. They make you taste fermentation of flavors.

Yeah, so Kiran is really into wine. And we often catch up and try different wines, mostly in her house. Yeah, yeah.

So I'm also a great wine buff. But beer is also something I understand very well because a good beer tastes a certain way. And when you have off flavors caused by bad fermentations, which a normal beer drinker doesn't really bother about, as a brewer, as a professional taster, I know what's right or what's wrong with the beer.

If you had to grade the beers available in India now, which two would be your favorite? So I definitely think Kingfisher is a good beer. Not because my father created Kingfisher, but I really think it's a good beer.

But out of the foreign brands, I really like Heineken. I think Heineken is a very good beer. It's a very clean beer.

I like, I know what the recipe is. And I think it's a great... You're also on the board of Heineken.

Yes, and I think it's a very good beer. What happened first? Did you get on the board before you started liking Heineken?

Or did you like Heineken and then you got on the board? No, no. I basically liked Heineken for a very long time.

In fact, I like the Dutch and Danish beers. I like Carlsberg. I like Tuborg.

I like Heineken. I guess, you know, I was on the board of United Breweries and Heineken took over United Breweries. So Heineken was a major partner of United Breweries for many years.

And then in recent times, they actually acquired the company, right? So now they are the owners of United Breweries. Anything you'd like to say about Vijay Mallya?

Just because... Well, he's a very dear old friend. Everybody says nice things about him who has been a friend to him.

He's a very nice guy, very smart guy. He really built the Kingfisher brand and made it into a global

brand. Well, he made a big blunder starting Kingfisher Airlines.

And I think his biggest blunder was to, you know, be in a hurry to go international. And when he bought over Deccan Airways, I think that was the start of his downfall. Because I think it was a big price to pay for an airlines in those days, where the business was just beginning to take off.

And you know that everyone who used Kingfisher Airlines swore by the service. I think he did a decent job, but I think financially it wasn't viable. The beer business was booming.

I think if he had stuck to beer, he would still be a very successful businessman. But I guess he is the kind of entrepreneur or serial entrepreneur who wants to do different things. What makes him so likable?

Why do all his friends, like I know many of his friends, I don't know him. But every time a conversation about Vijay Mallya comes about, they all talk about him like a friend's friend. No, and he was a very generous and he is a very generous man.

You know, he loves his friends. He's very generous with his friends. And he did live his life king size.

You know what I mean? He enjoyed, you know, having very, very extravagant parties. He was the man who brought in a lot of concerts into Bangalore.

He, you know, he really livened up this city, this country. Of course, he was the quintessential billionaire in terms of his lifestyle. You know, he started Formula One, introduced India to Formula One by having forced India as the team.

He did so many things. And I really wish he hadn't got himself into this position where he had to finally, you know, call it quits and, you know, go and seek refuge in the UK. Because I think he belongs here.

He should be back here. And he is such a likable person. And he has such a brand appeal to the youth.

And he has, in many ways, paid back a lot that he owed or all of what he owed. Well, he's paid back everything he's owed. So I don't understand why he's still being targeted.

I think, you know, the government should actually allow him back because he can actually do a lot more than what he's doing right now. Because right now, he's just sort of taking refuge in the UK. But I think if he comes back to India, I'm sure he would get back to being who he is.

And I'm sure he'd do other things. And everybody kind of deserves second chances in life. Nobody's perfect.

If we were to kind of like learn something from Vijay Mallya's story, and if the entrepreneurs

watching have to take a lesson from that book, what do you think people should not do that he did? That's a very good question, Nikhil. And in my view, I think it's about not being in denial.

And to recognize failure when you start seeing warning signs. I think all of us procrastinate the decision to pull the plug. And I think that's what happened to Vijay.

I remember having a chat with Vijay. You know, Vijay and I grew up, by the way. His father was the chairman of United Breweries.

So we were next door neighbors. He always considers me his elder sister. And, you know, we grew up as kids.

And I know him extremely well. And I remember during the days of trying to cope with the Kingfisher Airlines crisis, I kept telling him, I said, Vijay, downsize, you know, cut your losses. You don't have to make this into a huge international airlines.

And I think, you know, if you just downsize your airlines and focus on the Indian market for the time being, and make sure that you, you know, cut your losses, I'm sure it will do you a lot of good. But he kept saying, no, I think I know what I'm doing. I think I can overcome this.

I know that I'll be able to, you know, pay this back. And I know I can raise debt and revive this whole business. So I think he was in denial.

I think, is that ego? It's not ego, but it's about not giving up. You know, in a way, it's a bit of a, it's about a sort of an attitude of saying, I can't fail.

Right? Because the public perception of him became larger than himself. I don't think that was the way he looked at it.

He just was so passionate about that airlines that he wanted it to succeed at all costs. And trying to make it succeed at all costs was just not a viable option. And that's what really failed him.

So I think he kept mounting those losses. He kept sort of not being able to repay the debt in time. And there came a point where he just had to realize that he was heading towards bankruptcy.

Okay. So going back to your story, up until Brewmaster we get, what era was this? What year?

Oh, I went to Australia in 1974. Wow. I celebrated my 21st birthday in Australia.

And then I came back a couple of years later. So end of 75, early 76, I came back. And that was the time when I was trying to get a job as a Brewmaster thinking that, you know, I've done so well.

I topped my class in Australia. And hopefully, you know, people will really pursue me and give me a great job. But that was not to be.

I was in for a rude shock. Because whilst breweries were very willing to help me, to ask me to come and help them fix their problems, do troubleshooting, which I did. I even commissioned a brewery in Calcutta.

But when it came to giving me a job, I think no one wanted to risk that. They all said to me that this is a big risk. We don't even have a single woman in our leadership team.

And we certainly don't think the Brewmaster in charge of this brewery should be a woman. Because we have hostile labor unions. We don't think you can deal with them.

And we think it just wouldn't be the right thing to do. So that's when I realized that this country wasn't ready for a woman Brewmaster. And it was very disillusioning for me.

You know, I was very disappointed. Was Australia different though? Because you said you were the only person.

Well, Australia was no different in terms of the number of women in brewing. But I think getting a job in Australia would have been easier. And so I was really disappointed and dejected.

And my late father said to me, I think they're making a mistake. But, you know, even he couldn't help me. So that was the time when I started looking for jobs outside India.

And I actually managed to get a job offer from Scotland. That was in 1978. So for two years, I toiled and struggled to get a job in India, but I couldn't.

Is that where you met John? No, not at all. I met John many, many years later.

But, you know, I got this job in Scotland. But I never went to Scotland, by the way. Because I had an accidental encounter with a biotech entrepreneur from Ireland who actually came to India to track me down to see if I could help him start a company in India.

And he had heard about me from my Australian days. So he basically tracked me down on the day I was catching a Rajdhani Express from Baroda. To Delhi, onward to Scotland.

I was supposed to spend a short time in Delhi to basically develop some malting technology for a company that was associated with the person who was hiring me. So I was supposed to spend three weeks and then move on to Scotland. But the Irish entrepreneur, who was also, by the way, Scottish in origin, Les Auchincloss, was also a brewer in his former avatar.

But he had started a biotech company in Ireland developing enzyme technologies. And he wanted to actually develop a company in India because he was interested in two aspects of enzyme technologies. One was producing papain, which was a plant enzyme derived from papaya.

And the second was to develop solid state fermentation enzymes, which were very important for many, many enzyme applications around the world. So he heard about me in Australia, tracked me down in Baroda. And the day I was about to catch the train in the evening, well, in the morning, I get this call.

At eight o'clock saying, you know, I'm Les Auchincloss. I've tracked you down in Baroda. Can we meet?

And I said, OK, we better meet right now in the next few hours because I'm leaving for Delhi by the evening train. So I met him at about, I think, 10.30 in the morning. Spent a couple of hours.

I think we spilt it over into lunch and then I came back, picked up my bags and went to the train. And his whole approach was, look, I want to do this. And I've heard a lot about you.

And my first response to him was, look, I don't think I'm the right partner for you. First and foremost, this is not a country that is welcoming of women in business. I've just been told that I'm not welcome to the brewing world.

And so I don't think I'll be welcome to the business world either. Secondly, I don't have any money to my name. Thirdly, I have no business experience.

And most of all, I'm a woman. So I don't think I'm the right partner for you. This is in the 70s?

78. This was, I remember it was in March 1978. Were there any women prominent in business back then?

Not really. There was Rati Muradji who used to run the shipping business. But apart from her, I couldn't think of any other woman running a big business.

So it was a very different time. And this Irish entrepreneur wouldn't take no for an answer. He said, I said, look, it's good that, he said, I'm also coming to Delhi.

Let's talk again. I said, in fact, let me introduce you to somebody who will make you a very good partner. Because I'm going to work with this person who runs a malting company.

I'm actually helping him with setting up some new technologies. And I think he would be the right guy because he's got money, he's got business experience, and he runs a very successful business. So investing in the business would also be something up his sleeve.

So he said, okay, let's meet. So I went to Delhi and I met this gentleman Mr. Puranchan Jain, his name was. And I said, why don't I introduce you to this Irish entrepreneur?

He was very excited. So we actually met for dinner. I introduced these two gentlemen.

I said, why don't you form this company? And so they had a great discussion and the Indian

gentleman was very excited. He said, yeah, yeah, yeah, we can easily do it.

And they were having a bit of a chat. Then the next day, so as we were finishing dinner, he said, look, can I invite you for dinner tomorrow night? I said, sure.

So he invited me for dinner the next evening. I remember at the Imperial Hotel. And he said, look, I've met your friend and thank you for introducing me to him.

But really, I think you are the kind of person I'm looking for. I need someone young and entrepreneurial. Someone who's driven by new science, not your friend who is only interested in making money and getting technology and helping me in that way.

Because I really don't see him investing in new technology or developing new technologies. And you are anyway going to help him with developing a new technology. So I think I'm looking for a different kind of entrepreneur.

And why are you so diffident? I said, no, I'm diffident because I don't, I've never run a business. And I've never, I think you need to invest in a business and I don't have money.

So he said, look, let me tell you that I didn't have any money either. You've got to have hunger in your belly and you've got to have an idea which you think is exciting. And that's what entrepreneurship is about.

So he said, I think you're not giving yourself a fair chance. So why don't you really look at this joint venture and start? And if you don't like it after a year, I will promise you to find you a job.

So with that kind of assurance, I thought I have nothing to lose. What did your parents think in all that? So my father said, go for it.

I think if he's so supportive of this particular joint venture and he's giving you this assurance that he'll find you a job, if it doesn't work, then why don't you give it a shot? So instead of going to Scotland, I went to Ireland. I actually learned, you know, all about enzyme technologies.

I actually developed a couple of those technologies.

[Speaker 2] (23:49 - 23:51)

What are enzymes basically?

[Speaker 1] (23:51 - 38:39)

So enzymes, interestingly, are what we call as organic catalysts. They're proteins. Our whole, you know, any living system functions because of enzymes.

Today, we wouldn't be living without enzymes. Enzymes basically catalyze every single process

in your body, whether it is to make proteins. What do you mean when you say catalyze?

So for instance, when you take starch in your body, you need to break it down into glucose because starch is made of glucose. So to make, and it's glucose that gives you the energy, right, to run your various metabolic functions. So it is amylases, enzymes that break down starch into glucose that allows this to happen.

So I'm just giving you that as an example. You need enzymes that can break down fats into fatty acids. You need enzymes that break down proteins into amino acids and peptides.

And that's how your whole body works. So every part of your metabolic functioning is because of enzymatic activities. That's why even when they look at your heart function, they look at heart enzymes, right?

The troponin, how much is it? So every part of a living system works because of enzymes, right? So when you look at biotech and look at fermentation science, again, fermentation is all enzymatic.

Without enzymes, you cannot get alcohol. You cannot get glucose. And glucose is fermented into the ethanol.

And these enzymes are also made in a lab? Yeah. So the way you make enzymes is in a fermenter.

So what you do is, it's nothing but a protein, right? So you basically need to figure out what that protein is. So you make enzymes in two ways.

One is to use natural enzyme producers, like say, as I said, there's a plant enzyme called papain. You can extract it from papaya. There are microbial enzymes that you can get bacteria, yeast or fungi to produce.

And then later on, what I did was I started making recombinant DNA-based enzymes. So there, what you do is you basically take a microbe, like a bacteria, or in our case, I started using a yeast. And you look at its DNA and then you basically insert a gene sequence that codes for a certain type of an enzyme.

And so it's like a barcode. So once you modify that organism, the organism starts producing that enzyme, which is secreted into the medium and then you extract it. So those are the kind of technologies we developed for enzyme technologies.

And it was very exciting because, you know, it was an idea ahead of its time. We started developing a large number of technologies for effluent treatment. So if you wanted to break down certain effluents, you could use enzymes to break it down.

What is an effluent? An effluent, whatever the waste you produce in a factory, organic waste that you produce, it could be anything. You can actually use enzymes to break down that effluent.

And you started this in Ireland? No, I started it in India, but with the Irish company. I also started developing enzyme technologies for the paper and pulp industry, which is another very polluting.

But you went to Ireland for a while? I went to Ireland for six months to basically learn these technologies. I understood the technology, but I just wanted to know how they were produced.

Did you learn from being a brewmaster? Absolutely. And then I came back to India with that knowledge to actually set it up here.

So I think, you know, we developed, you know, the whole purpose was to replace chemical technologies with enzyme technology. So it was a greening of processes. Today, chemicals pollute.

But if you use biotransformation or biocatalysis, you can replace those chemical processes with enzyme technologies, which are very, very eco-friendly and non-polluting and biodegradable. That's what I was trying to do in those years. You know, it was an idea ahead of its time because nobody talked about sustainability or sustainable solutions or green technologies.

Everyone was busy polluting the world with the most efficient chemical technologies. And we still do that even today. But today, finally, the realization is that we are wrecking the world with chemicals.

And, you know, we are polluting the world and chemical processes are irreversible. So to get rid of certain chemicals is very tough. And that's why even today we are so anti-plastics because plastics are not biodegradable.

So the whole notion of developing biomaterials, biocatalysis was very cool, even for those. That's what really appealed to me. Though it wasn't easy to get companies to adopt and embrace enzyme technologies because many of them would say, oh, it costs me X to do this process using a cheap chemical.

Why should I spend 2X to use an enzyme technology? And I would say because actually it's not 2X. You're actually spending much less than even the chemical technology because you actually need to process the effluent you are, you know, throwing out because of the chemical process.

Right now, you don't do effluent treatment. That's why you don't treat that as a cost. But the day you need to treat that chemical waste, it's going to be a very expensive process.

And my words have come true today, but not 40 years ago. And how old were you then? I was 25 when I started Biocon.

So that was another phase of my life where when I finally decided to start Biocon, sometimes when I look back on it, it was foolish courage because it was a very tough path to go down. I was 25 years old. I was a young woman.

I had no business experience. I had 10,000 rupees in my bank. Right.

And I was trying to start a strange business called biotech, which nobody understood. And I was high risk in the eyes of everyone that I had to deal with, starting with bankers. Bankers didn't want to touch me.

I mean, I just wanted a credit line. And, you know, those days there was no venture funding. It was debt financing.

I wanted a loan and I wanted a credit line. I found it impossible because of all the reasons I just mentioned. Very often they would come and say, your guarantee will not suffice.

Your father will have to give a guarantee. I said, my father has nothing to do with my business. So on principle, I don't think he should give you a guarantee.

I mean, if you accepted a guarantee from a male entrepreneur, why not from me? So, you know, those were the days when there was such a strong gender bias. Then came hiring people.

People didn't want to work for a woman. I found it very difficult to hire people. So my first two employees were retired tractor mechanics who needed a job desperately.

It didn't matter to them whether it was a man or a woman hiring them. Of course, a few years later, I was very lucky that I was able to get the brightest minds to join me. I therefore consider myself really the first startup in the country.

What changed? How did you manage to get these? So when I started the company, you know, brick by brick, and I actually started in my garage.

In a shed, right? Yes. I started in a shed.

I started very frugally. How much did the Irish guy invest? Like what was the funding?

So the Irish guy basically had given me a buyback guarantee for the products I make. He hadn't really invested much. He and I was too proud.

I wanted to build it myself. So I said, okay. He gave me a kind of a guaranteed buyback and he gave me an advance payment for buying those enzymes when I make them.

So he gave me a check. I mean, I had 10,000 rupees in the bank, but he gave me a draft for 10,000 pounds. Wow.

Those days. 78. In 78, which was quite a lot of money.

And with a bank guarantee, right? I mean, with a buyback guarantee for whatever I was going to make. Did the banks lend based on that?

So I kept going to a bank based on that draft, saying, look, I've got a, here's a US, I mean, here's a pound sterling draft and I've got 10,000 rupees in the bank. Why can't you give me a credit line against this advance payment? They didn't understand my business.

So despite having all that, they found it difficult to give me a credit line. And it was just one brave banker who listened to my story, got very inspired by what I was trying to do and said, come and meet me tomorrow. I'll give you a credit line.

Who was he? A guy called Dinesh Nayak from Canara Bank. My father worked in Canara Bank all his life.

I always banked with Canara Bank, even today because of that. He was the only one who took a bet on me. So that's how I got a credit line and I started.

Still in touch with him? Not, I think he's, I don't know whether he's still there, but I lost touch with him maybe about 10, 15 years ago. Until then, whenever he, of course, as long as he was with Canara Bank, I was always in touch with him.

And then basically, I started interacting with students at IIT. Okay. And these students would then reach out to me, biochemical engineering saying, hey, we're looking for enzymes and can you give us some enzymes to, you know, do some experiments?

And that's how I started talking to these students. And interestingly, of course, when they came to me seeking advice on which university they should join, I said, hey, why don't you join me? And they got quite excited and they joined me.

Then there was a, you know, I was featured in Business World and on India Today. I think the first cover they had of women entrepreneurs, and there was me and there was Shahnaz Hussain and there was some other woman, it was. But three of us were featured on the cover.

Was that a big thing back then, being on the cover of a magazine? Of course it was, right? And I was there and someone read this cover story and quite a few people reached out to me saying, hey, we'd love to know what you're doing.

Is this pre-news channels? Like back then it was only print media? It was all print media.

So this was in the early 80s. And that was when I started getting young professionals, young, you know, engineers from IIT all reaching out to me saying, we'd love to know more. And some of them, when I started talking to them, would you join me?

And they all said, yeah, why not? And so we formed this core group with young, you know, well-educated engineers and folk like that. So my first team was a guy called Shrikumar Suryanarayan who headed my R&D.

And he did his master's in M.Tech biochemical engineering from IIT Delhi. And he had done his B.Tech from IIT Madras. My second colleague was Ajay Bharadwaj who had done his M.Tech. No, he had done his B.Tech from IIT Delhi and his M.Tech in biochemical engineering from University of Louisiana in Baton Rouge in the U.S. and had come back. My third colleague was my CFO, Murali Krishnan, who had actually, he had joined me from a chartered accountancy firm. And my fourth colleague who joined me a few years later was a PhD from MIT, Arun Chandavakar. And Arun was, it's a very interesting story.

He had, you know, he was doing his PhD at MIT. He had been, he was, he had heard about me. So he came to India, interviewed with me, got very, and we showed him around and he got very excited with what I was doing.

And he said, hey, you can count on me. When I return, I want to join you. He was supposed to finish in a year's time.

So I said, great. And that evening I met some folks at Hindustan Levers and his father used to work at Levers. So I mentioned to the senior people, I said, hey, you know, I just met this very interesting guy from MIT and he's going to join me.

And I was told, forget about that because he's going to join the Hindustan Lever Research Center because his father works at Levers and we made him a great offer. I said, what offer have you made him? And he said, they made him an offer of some 10,000 rupees and we had made him an offer of 4,500 rupees, which was much higher than what we were paying ourselves.

We were paying ourselves 3,000 rupees and because he was MIT, we said, let's pay him more than us. The three of us, let's do that. Who are the three of us?

The other ones, right? Srikumar, Murali.

[Speaker 2] (38:39 - 38:39)

Are they still around?

[Speaker 1] (38:40 - 40:16)

Srikumar actually has started his own company, which is a very cool company. He started a company called C6 Energy. They're trying to make biofuels out of seaweed.

Very successful company. He's also doing quite an interesting job. Ajay Bharadwaj runs a very successful research services.

And I mean, it's a contract manufacturing and research company called Anthem Pharmaceuticals. And he's also, I think, got a billion dollar valuation. And then of course, Murali continues to consult in the financial world and he provides financial services.

How do you learn to take pride and be happy about people who you started with moving on and doing great new things? You know, I've always been of the view that if you want a country like India to grow and to develop as a global economy, it will only happen through entrepreneurship. And I think you need to breed entrepreneurs.

And I think we all owe it to ourselves to ensure that we play a key role in creating more entrepreneurs. I am very happy that the Biocon group, if I count now, I think I've created 100 entrepreneurs from our organization.

[Speaker 2] (40:16 - 40:17)

How long has it been?

[Speaker 1] (40:17 - 47:12)

From 78 to now. That's almost 40 change years. Yeah.

So I've minimum 100 entrepreneurs I've created. And I feel very proud of that. And you seed them in their new ventures and partner with them?

Some of them, yes. If it's very exciting, very novel, I have. Okay, so these four people joined for the first time.

And then of course, Arun joined. Arun's also been with the company. He later on went on to be the CEO.

Right. And he still continues to be on the board. So early 80s, you started getting cool people who came in, partly due to the press and the cover and all of those things.

And also because you were building really interesting stuff. What happened after that? So, you know, once you start building a company and it starts getting known and it's doing something very, very novel and differentiated, you start attracting a lot of people.

And obviously, you know, the biotech world needed people from biosciences and from engineering. And I managed to attract a lot of those very, very good people earlier on. You know, one message I have for all entrepreneurs is focus on getting good people and the right leadership team to share your journey.

Because very often I find entrepreneurs who want to play a very authoritarian role in driving their businesses. That's never been my style. I've always believed that you've got to have a good team

and you have to delegate your responsibilities and share your responsibilities amongst that leadership team to grow fast and to make sure that you have the bandwidth to grow and also would you say share equity?

And absolutely. I mean, I personally, I've always shared equity, but what I made sure is that an owner, founder owner always has the highest vested interest in the growth and the future of a company like yourself. So whilst you share equity, I think you must continue to see whether you can hold the maximum equity share in your company as long as you can to make sure you drive it in the direction that you think it ought to be driven into.

If you wish, you could do one thing differently with these five people that you spoke about in your own journey of Biocon. Is there anything that comes to mind? You know, I think when I look at the way we grew Biocon, I don't think I would have done anything differently because remember, we were a pioneering company.

We had to find of, we had to create the path we had to learn along the way. We made many mistakes, but I think those mistakes allowed us to learn fast and allowed us to shape our knowledge and allowed us to basically grow much faster. So I think I don't think I would have done anything differently.

Sure, I think when I look at today's world compared to yesteryears, you know, the whole focus on professional experience is very important. So maybe, I mean, today we get our people to go and attend many of these executive programs. We had to kind of bootstrap ourselves and learn ourselves.

And if there's one thing I would like to do is differently would be that if I had gone to a proper executive program at a leading business school, maybe I would think differently. Maybe I would have done things a little bit more strategically in some ways. Can you elaborate, for example?

You know, some of the decisions that I took were, I feel in retrospect, impulsive or opportunistic. I don't know whether business school would treat you to do anything differently, but maybe, you know, it was when I married John that John brought in a lot of professionalism into my thinking. When was that?

What year? In 1998. Right.

What happened to Biocon between the early years in 80s to 98? It scaled significantly. So basically, we scaled quite a lot and my Irish entrepreneurs actually sold out to Unilever 10 years into my partnership.

And that to me was another very, very exciting inflection point. Because having Unilever as my partners, even though they were minor partners, you know, launched me into a very new orbit of professionalism and global benchmarks. You know, everything that they did at Unilever was, you

know, of world-class global standards.

And they wanted every company in that group to follow those benchmarks. So that was very, very good for me because I quickly sort of transformed the business from a very amateurish entrepreneurial company to a very professional company where I had to sort of learn the Unilever way of doing things. You know, whether it was financial reporting, whether it was good manufacturing practices, whether it was, you know, compliance and regulatory aspects.

And then most of all, it was about IP. You know, as a big company, they focused a lot on IP, which I hadn't really understood as an entrepreneurial company. They were the ones who basically made me realize that you're doing something so innovative, make sure that you cover the IP.

That's what taught me about intellectual property. So I think I was fortunate to professionalize and learn a lot of things because of Unilever. And I dealt with Unilever as a very entrepreneurial, you know, founder of a company.

In the long run, I think it did help me because I think they couldn't quite fathom me. And so when I married John, I was able to basically buy back the business from them because they almost found it difficult to deal with a partner who had a major interest in the company and wasn't willing to bend to their needs, if you know what I mean. So when they sold the company to ICI and they expected me to just go with that decision, I didn't.

I said, sorry, I don't want to now be handed over to yet another.

[Speaker 2] (47:12 - 47:12)

When was that?

[Speaker 1] (47:13 - 1:26:44)

What year? 1998, the same year that John and I got married. And so I went to John and I said, John, I think this is a great opportunity because I found that in my contract, my original partnership contract with Biocon, there is a clause that says there's a preemptive clause that says that they cannot sell their shares without offering it to me first.

So let us exercise that preemptive right and see if we can buy out Unilever. What was the value of the company? 98?

Well, it was very funny because Unilever at that time owned 30% of Biocon. OK, now. All that we paid Unilever was two million dollars for that 30%.

I didn't even have two million dollars to buy them out. It was a huge amount of money. John always used to joke that John and I had just got married and John sold his life savings that he

had put into a townhouse in Chelsea in London.

He sold that townhouse and, you know, borrowed something against that money that he made. And he somehow, you know, rustled up that two million dollars and we bought out Unilever. And then, of course, John, you know, we had to do a back to back deal because that was everything we owned, right?

And John always used to joke saying I always thought I'd get a dowry, but Kiran cleaned me out. But that was the best investment I ever made. How did you meet John Kiran?

Well, John came to Bangalore as the chairman and managing director of Madurai Quotes and that was based in Bangalore. 1991 is when he came. And of course, since both of us were single and we both were playing golf and.

Were you single up until John? Like did you date during the very early years of Biocon, 1975 to 1990? Yeah, a little bit here and there.

But basically. Yeah, but basically it was really John that I was serious about. And why were you serious about John?

Because I think I suddenly realized that John had a certain maturity that I was looking for. And he, of course, was someone who had worked with Quotes for a long time. He had traveled the world.

He had headed or been part of the Quotes business in many, many parts of the world. So he was a well-traveled man with a lot of maturity. And I was trying to understand a big, you know, conglomerate like Unilever.

So I asked John, I used to ask John for a lot of advice saying, how do I deal with Unilever? You know, they're constantly demanding that they should take ownership of this company, but I don't want them to take ownership. How do I deal with it?

And John would kind of give me advice as to how I should position myself. I've spent some time with John. And what I find really interesting is you would always tell me that this man has no insecurity.

He's so comfortable in his own skin that because you were always like this protagonist of the story who everybody associated with Viacom. But he never wanted any attention and he was never insecure of it. Yeah, so I think that was his greatness.

I think, let me be very honest that when John and I, so finally I got, you know, John helped me to buy the shares out of Unilever. And that was in 1998. In by the year 2000, we had basically done a back-to-back deal with ICICI.

Actually, it was called TDICI those days. And TDICI, oh sorry, no, it was ICICI Ventures that basically bought out 10% of that stock. So we had bought 30% and we managed to sell 10% for $2 million to Unilever.

So that is how much it appreciated in one and a half years. Super deal then, arbitrage. Yeah, arbitrage.

And we had therefore, ICICI Ventures invested in the company right up to 2003. By 2003, the company was valued at, you know, when ICICI Ventures invested $2 million, it was worth about 100 crores. By 2020, by 2003, AIG actually acquired the 10% stake that ICICI Ventures had at a valuation of 400 crores, which ICICI thought was a great price.

But a year later, the business, I mean, the company was valued at a billion dollars. So you can see how much money AIG made. In fact, AIG keeps telling me that was the best investment they've ever made to date because the appreciation they got in the Biocon IPO was something they've never seen before.

What was the product that was killing it at Biocon, which was bringing in all this revenue? So we were making enzymes those days, right? So throughout it has been enzymes.

Enzymes was what got us to the year 2000. Then in 2000, I decided to pivot to biopharmaceuticals. So that's why I wanted to go for an IPO because biopharmaceuticals was a very different business to enzymes.

And why did you recognize the need to pivot? Because I felt that enzymes was only going to get me to a certain size and no more. And I needed to get to a much higher size and that much higher scale and size would only come through biopharmaceuticals.

So what I did was I leveraged the enzyme technologies to biopharmaceuticals. So I think that's another thing I've learned as an entrepreneur, which John always credited me for, is to say that you should be agnostic to what a technology is producing, but to see whether the technology can do something else. And so even though I had developed enzyme technologies based on biotechnology, you have to be agnostic to what those platform technologies can do.

So why are you only making enzymes? Can't you do something else? And that something else was biopharmaceuticals.

So I started making statins from fungal fermentation technologies. Can you give us like very briefly what is biopharmaceutical and what is a statin? So a biopharmaceutical is a pharmaceutical produced from any kind of life science origin.

So normally when you make a pharmaceutical product, it's all a chemical process. You use chemicals, you synthesize the chemicals and you make the molecule. In biopharmaceuticals, you

actually use living organisms to produce the molecule and you extract it out.

So it's like a biological product. So that's why it's called a biopharmaceutical. So the first statin I made was called lovastatin, which was made from a fungal fermentation process.

So you use fungi. So we used to use fungi to make enzymes. And then I found that you could actually use certain fungi to make lovastatin.

And what does statin do? It's a cholesterol reducing drug. This is what people have when they're getting a heart attack.

So today everyone is really put on a statin to prevent a heart attack. So lovastatin was the basic statin from which, of course, later on you had many, many kinds of statins, simvastatin, rosuvastatin, or torvastatin. So there are many, many classes of statins.

But I started with lovastatin, which is a fungal fermentation. In fact, today, Biocon is the largest statin producer in the world. Because of the knowledge we've acquired over time.

So we started with the simple fungal fermentation based lovastatin. Then lovastatin was the starting raw material for simvastatin. So we again became very big in simvastatin.

Then there was another fermentation based statin called pravastatin. So we became big in that. And then you had two more synthetically derived statins, which had a very similar process to the other statins, but they didn't involve fermentation called torvastatin, rosuvastatin.

So today we are the largest producer of the statin APIs around the world. We have a 50% market share of statin APIs. And if we look at our share in the US market, again, a 40% market share in torvastatin and rosuvastatin in the US.

So probably one in two tablets that are prescribed by any CVS or any pharmacy would be a biocorn statin. So which is a great thing. In fact, I find lots of people sending me pictures of the biocorn bottle of a torvastatin saying, hey, I'm using a biocorn product.

So I think that's made us very big. Then we went into another group of products produced by fermentation. And this was a immunosuppressant that is used by, you know, a large number of patients who need immunosuppressants.

For example, all transplant patients need to take an immunosuppressant to prevent organ rejection and then they have to take it lifelong. And these are products called limuses. So tacrolimus, everolimus, you know, these are some of the and we also make sirolimus.

So they're either anti-cancer or anti, you know, the immunosuppressants. Again, we have a huge presence in the world. We have, again, a 50% dominance of the raw material and also in the finished product in many, many markets.

And then I went on to insulin. That is the greatest story which I like to tell because we started the insulin program in the year 2000 when I'd started looking at biopharmaceuticals and I said, what else can I do with recombinant DNA technology? And I realized that India was at the epicenter of diabetes.

We were importing all our insulins and unfortunately, 90% of those insulins were animal insulins, means insulin derived from extracting the pancreas of cows and pigs. So bovine and porcine insulin because that was the only cheap insulin available at that time. Recombinant human insulin, what is recombinant?

Means produced using a technology that I mentioned earlier where you do a plug and play. You plug in the genetic sequence of an insulin into a bacteria or a yeast and it's just like a barcode. Your body just, I mean, the living system just reads the barcode and produces the protein.

So whether it's a natural protein of the thing or whether you've now inserted a new gene, it just reads it and makes insulin also. So that's how we use recombinant DNA technology. And so I said, you know, recombinant human insulin was way beyond the reach of most patients in India.

It was 10 times the price of animal insulin. So only the affluent patients could afford it. So I said, look, I've got to do something about this.

So that's what made me develop a recombinant human insulin using my own proprietary technology on which I had several patents. And I was able to develop it. So in 2004, I launched India's first recombinant human insulin and I brought the prices crashing down so much so that I forced the innovator brands to also come down to my pricing.

And so now, of course, nobody uses animal insulin. So I was able to bring the prices down to animal insulin levels. And this decision to pivot, I think it's so important for every entrepreneur.

When you do a certain thing, which does well, how do you bring it in you to kind of like think of something new altogether, because you have something which is doing well, growing and recognizing that need? So, you know, that's a very important question to ask on this kind of a conversation about entrepreneurship. You know that everything has a shelf life.

And you keep on doing much of the same, you'll suddenly find that there comes a time when there's a cliff and it's too late to do something in a hurry. So you've got to keep challenging yourself to reinvent, to look at what is what, what next? What else can I do?

What's the next product? It's like in your case, right? What's the next product offering?

What's the next financial, you know, product that I can develop? And what do you think you have to anticipate what the market needs? So that's how I started pivoting into insulin, which I think was the best thing for me to have done.

And that was the time I decided to then IPO when we were about to launch insulin. And I knew that, you know, just the thought of launching the recombinant human insulin, which did have a great market potential would create a value for the company that was going to be very different. So most people I have spoken to who have IPO'd their company, people who have scaled immensely.

Majority of them regret that decision to IPO because of the compliance, shareholder relationship and the amount of time that takes up. What is your opinion on that? Well, you know, I don't subscribe to that idea because I believe that as you grow your company, you need, you need a capital value for a kind of a currency that you use to grow your company with.

So if you create a valuation for your company, you can use that as a very, very powerful currency to do many more things. So I think, for instance, let me be very honest. You know, I've created so far three companies, you know, distinct companies.

One is, of course, the original Biocon, then Biocon created a subsidiary called Syngene, which is a research services company. Today, Syngene is the most successful research services company. Biocon owned almost 65% of that company.

But when we needed money to pay for a very recent mega acquisition that we did in the US, I actually monetized 10% of that company for over $300 million because today Syngene is worth about $4.5 billion. So I think you need those kind of monetizable channels, which you then use to grow other parts of your business. Or grow the same business because that becomes a very powerful currency.

So today, for instance, I've created Biocon Biologics, which is worth about $6 billion in valuation. And if I have to do it and I could only do that deal at that value to make that acquisition, which was part cash, part stock. And if I didn't have that currency, I don't think I could have afforded to do that acquisition.

So I think the IPO basically gives you a huge currency valuation, which you can then use in many, many ways to trade, to leverage, to do what you want to grow the business in different ways. 2005 IPO happened. 2004.

2004 IPO happened. How did it change your life personally? Did you suddenly become recognizable in a manner you had not experienced before?

Absolutely. I mean, I was always, I mean, I suddenly was launched into fame as India's richest woman. Richest self-made woman.

Yes. Which is even better and bigger in my opinion. Absolutely.

And India's, you know, self-made billionaire woman, et cetera, et cetera. So obviously it suddenly shot me into that kind of limelight. And can I say this?

Like we've been friends for quite a while now, and I have never seen money define you in any way whatsoever. Like even in our conversations, for someone like you who doesn't have any dependents today, like you don't have kids, what does money really mean? You know, for me, wealth has never been about money.

Wealth has been about value creation. That's what I've always felt about myself. So I'm never really focused on my bank balance or how much I'm worth in billions of dollars.

My worth is about the value I've created over time. And for me, the most exciting part of this wealth creation journey has been about the value of knowledge. So, you know, from starting in 1978 to becoming a billion dollar company in 2004 was a long time, right?

So from that point of view, it was about 26 years in which I created that kind of wealth. And so therefore, I feel that now taking it to the next level is what I'm really excited about, saying how do I create the next big value for this company? And the way I'm trying to do it is to get onto a very new path.

And one of my strategies as an entrepreneur has always been about differentiation. I never want to be a me too company. I always want to lead the way.

And therefore, I'm willing to take bigger risks than other people. You know, just before I came for this meeting, I was having a chat with some of the financial investors, and I was just trying to tell them that the kind of business I have created today is a very big risk in terms of the nature of the business. And fortunately, I've done this over a 10 year period.

And therefore, I've been able to absorb a lot of the shocks of the business. Anyone who now wants to venture into this kind of a business will find it very difficult because it has a direct impact on their EBITDA. Today, I enjoy one of the highest EBITDAs in the pharmaceutical industry and in India.

And if any Indian pharmaceutical company wants to now venture into biosimilars like I have done, it will, you know, have a huge impact on their EBITDA and their earnings, which I don't think anyone wants to do at this point in time. So you see, what I want to really sort of focus on is about how entrepreneurs should think about their business. You need to be looking at the future and future-proofing your business, even if it means that you start investing in risk, you know, in embedded risk.

And once you understand that risk and how to mitigate that risk, I think you will be a very, very differentiated company. But to take the safe route of opting for low-risk ventures will not make you stand out. And I think you know this as well.

Can I digress and ask you a question? This decision not to have kids, I'll tell you where it is

coming from. I am 36.

I did not ever have that decision not to have kids. It's unfortunate that I got married very late in life. And John and I very much wanted to see if we could have a kid, but it didn't work out, right?

Like, as my friend, if you were to give me any advice, like at 36, people say mathematically, the odds of you having a kid beyond 40 go down significantly. And if I don't have kids and do not intend to have kids, do you think, that's my intention, by the way. And do you think I'm going to miss out on a lot in life?

No, I don't think you miss out on a lot because, you know, you come to terms with the fact that you don't have a kid. I mean, I'm very much a kind of person who enjoys young children. I love young kids.

And I would have been very happy if I had my own kid. But I didn't have a kid of my own, but that doesn't mean that I have a huge, you know, void in my life as such. You learn to cope with your life.

I mean, you know, my company is my baby, so to speak. And of course, John and I spent a lot of time together building the company. We had wonderful times traveling the world together, discovering opportunities together.

So, yes, I don't have those kind of regrets, not having a child of my own. But for someone like you, if you've decided you don't want to have a child, there's nothing wrong in that. You know, Nikhil, first and foremost, let me draw your attention to what happened in China with the one child policy.

Today, they are suffering from a very serious demographic disadvantage. Whilst India is actually trying to reap the benefits of a demographic dividend. It is scary what's happening in China.

So if everyone had your attitude and if we didn't have enough kids, we would be degrowing and we would get into an aging population very fast. Which I think we will because India's fertility rates have come from 4 to 2. Replacement rate has come in many parts of the country.

But I think that's something which we have to really watch out for. I think not having a kid is fine in terms of a personal choice. And I think what also is something you and I share is about philanthropy.

I think when you don't have kids, you tend to be more philanthropic. That's what I feel. 100% because there's no one to leave anything back.

No, I do. I do want to leave some money for my family. I mean, I do want some inheritance to go to my family.

But I think by and large, when you create the kind of wealth that you and I are creating, then obviously you want to make sure and you signed the giving pledge like I did. You want to make sure that at least a significant part of your wealth is used for philanthropic impact. And that's what I really enjoy doing these days.

And I think once you kind of come to my kind of age and I'm sure I have 10 years of active business life left. But after that, I think what would really give me a lot of pleasure what to see is to see the philanthropic impact my philanthropy has had. And I've been investing a lot in research and higher education because to me, that is what will define the demographic dividend for our country.

So I've been trying to invest as much as I could in a big way, because I think I also feel that philanthropy should not be making small fragmented investments, which may not have the kind of impact you can have by making large, substantial investments. So I, for one, have always decided that whatever I'm going to do, I want to start building critical mass. That's why I've invested a lot in institutional building.

See, I don't want to run these institutions, but if my cap, my philanthropic capital can help, you know, create that impact. I'm very happy to invest in those kind of programs. Yeah.

So even when I was joining that pledge, I remember asking you any advice. I asked Nandan as well. And the thing was, it was not a saintly altruistic act per se, but it was clarity over the fact it took longer than it should have.

But I got some kind of clarity that I will never have kids. And if that is the decision I have made, there is really no point, you know, one day you will die. And it is so unpredictable today that you die with money in your bank account, which kind of like has nowhere to go.

But you'd rather be more, more participate in the community because that actually makes you feel better. So even with this podcast, like we never did it with the intent of making money. Right.

So we thought we will create really educated, informative shows, put them out for free. But what we also realized is we have to inculcate and encourage the audience to give money and the high that they get from that is also very addictive. So what we have thought is for every show, like I will ask you at the end of the show, like maybe you can allocate some money, donate some money.

I will donate some money and we will let the audience have a poll. They get to pick the charity the money goes to. And hopefully that encourages a larger part of society to come in and participate in whatever the community needs.

Yeah, I think it's very important for society to give back. I always believe that, I think indulging in yourself is fine up to a point, but I think investing in society is so important. And there are so many things in a society like ours that requires investment.

So I think for me, when I look at the demographic dividend that India has the potential to benefit from, it's really about creating an educated young population that knows what and how to leverage knowledge. And if we can do that well, and that's why I think we need to make sure that our education is of a high standard. You know, it's not just about rote learning.

It's not about just going through a curriculum. It's about learning how to learn and applying your knowledge and your mind in a way that generates new knowledge. I think that's the way we have to educate our young.

And I think, the new education policy is trying to see whether they can develop a new kind of teaching and learning experience that is about a curiosity driven learning. And I really hope that works because if it does, and it has to start right from school, then I think we really can look forward to a huge demographic dividend. Yeah, so I must tell you a joke.

I was recently on a global panel discussion. I mean, it was being moderated by one of the investment banks. And it was Morgan Stanley.

And there was a US, I mean, there was a Chinese woman entrepreneur from Hong Kong. And there was me from India. And so it was about the India, China, you know, economies.

And of course, the last question she asked was, and we were talking about this demographic dividend. And I was talking about how India has this, you know, at the moment, a very big advantage over many aging economies. And, you know, that was the kind of discussion we were having.

I was talking about the STEM talent being developed in India in sheer numbers. So the final question was, Kiran, if there was one thing you would like from China, what would it be? And I said, well, it's very clear to me that it's infrastructure, infrastructure and infrastructure, because that's what is lacking in India to make the most of everything we have.

And so when the Chinese lady was asked, what is that one thing you would like from India? She said, babies, babies and babies. So you can see how dangerous it is to become an aging population.

And that's what Europe is becoming. That's what Japan is already become. And China is becoming very rapidly.

So there are very few parts of the world which have young populations and we should make the most of it. But that young population is of no use if they are not educated. So you and I often meet politicians together and we try and participate in policymaking or we don't really participate in policymaking, but at least discuss things that we believe can help.

What do you think about the broader political climate of India today? And what do you think

needs to change tomorrow to expedite the rate of change which is happening in India, all towards the positive, in my opinion? I think India is in a very unique position today because, you know, all the stars have lined up in our favor.

And I think you couldn't have a better time than today. When, you know, the geopolitics of our time are alienating China, where India is suddenly becoming the favored, most favored nation, I would say, or the most favored destination for many things, including manufacturing. A lot of geopolitical shifts are happening and it's favoring India.

So we have a lot going for us. I think the government has certainly seized on this opportunity and it is coming up with very, very good policies. You know, one great advantage India has, and that's thanks to a lot of government policies, is the digital revolution that's happening in India.

I think India's, you know, digital payment gateways, India's digital transformation pathways in every aspect, whether it's healthcare, whether it's ed tech, whether it's anything, you know, e-tailing. I think we are really poised for great growth. And this is something that the world is taking notice of, because we've done things extremely well.

We've leapfrogged in many ways. And the world is suddenly watching us and saying, hey, India's in a different league. And I think many parts of the world are now trying to emulate us.

I think starting with the way we went about Aadhaar and the way we've sort of leveraged Aadhaar in many aspects of our digital world is really commendable. So I think the world is suddenly saying, hey, what is it that India did that we missed out on? So that's great.

And I think India, and I think the government has done very well in terms of coming up with policies that augment and accelerate the process even further. In our own field of biotech and bio life sciences, I think India is suddenly now focusing on the pharmaceutical industry as the pharmacy of the world. And of course, they come up with production-linked incentives.

I've also been trying to advocate for research-linked incentives because without research, the pharmaceutical industry will be stunted and stifled. So I think that's where the government really needs to act fast. Do you think India's share of research in GDP spend is very low?

Very, very low. We spend less than 1% on research. And the US is closer to 3-4%?

It's about 6%. And it's about 4%. Korea spends the most as 6%.

And of course, smaller countries like Israel also spend about 8%. So many parts of the world, the average spend is between 4 to 5%. India needs to at least double its spend given the size of our country.

So even if we spend 2% of our GDP on R&D, I think it will catapult us into a very different league. Today, we are followers. We are not innovators.

And I think that's where we ought to be. And we have that potential, but we are not leveraging it. What is retirement to you, Kiran?

Somebody said, when you're sacrificing today towards the imaginary tomorrow, that's when you have freedom or retirement. How does that concept play out in your mind? What is retirement?

What is freedom? So it's a very difficult question to answer because I think for me, in the minds of many people, it's a kind of a cutoff date. For me, it's not a cutoff date.

For me, it's slightly sort of freeing up more time, not to have day-to-day pressure. So today, I think I will give myself another 10 years of active engagement, so to speak, where I can't possibly say, oh, tomorrow I'm going to take a break or tomorrow I want to do something which today I can't even think of. So if I want to take a holiday, I should be able to come to that point where I say, hey, I feel like going and visiting some part of the world and maybe I'll do it next week.

I can't even think of that today. Today, my entire calendar is planned out. And so retirement to me is when my calendar is flexible.

That's what I mean as retirement. I know it will never be free, but it should be flexible. So when your brother was here a couple of weeks ago, we had lunch on Sunday and he's a professor, he teaches in Canada.

And a lot of what he said, I found extremely intriguing. But one thing in particular, he was talking about his virtual signaling in the world today. Do you think we all project an image of ourselves upon the world, depending on our own evolution and depending on what the world will be okay to accept today?

And in that process, have we lost touch with who we truly are? And we're always in conflict, contradicting ourselves, our outer selves with our inner self. So, Nikhil, I think virtue signaling is a problem in the world.

But I for one believe that many of us in Bangalore are not virtue signaling because we are who we are. I think we speak our minds. We are not fake.

We do and say things as they are. And I don't think we are virtue signalers. And I think we should remain that way.

And that's why I think we are accepted and we can engage with anyone and everyone. Even in our own country, I find there's too much virtue signaling. You know, how you dress seems to be the way you judge people.

And I think that's so wrong. I don't think anyone judges us the way we dress in Bangalore. You can wear anything you want.

And people will look at you as who you are, but not so in other parts of the country. So, you know, I'm often told, oh, when you go to a government office, you should wear a sari. And I said, why?

You know, I'm there to discuss something. It's not about what I wear. It's about what I say.

But it happens a lot today, doesn't it?

[Speaker 2] (1:26:44 - 1:26:44)

It does.

[Speaker 1] (1:26:44 - 1:54:10)

Even here in the world, in the world, it happens a lot. And I think today the world is becoming a world that does not tolerate any kind of comments or statements which are considered politically incorrect. So anybody who is not a conformist today, conformist to popular opinion, faces a harder time than they should.

And by popular opinion, I don't mean anything political, but it could be things around how altruistic somebody is, how aligned with capitalism somebody is. But I think that not being conformist is what actually makes people interested. Yeah, actually, you know, today, if you want, I mean, today's social media has suddenly unleashed wrath and unfair bias in many, many ways, right?

I think you should be true to yourself. I think you should be honest in terms of your intention and your purpose, and the rest will be fine. Because if you try to be what you're not, I think you'll trip up.

I think I felt in many ways that I was very inauthentic for a large part of my life. I'm finally realizing what my flaws are and I'm okay with them or I'm making my peace with them. And I think it's helping me be a little bit more authentic in life and not care so much about validation.

I still do, but it's refreshing. You feel so much lighter as a person, even if the shift is just 10%. Yeah, I think you just need validation from your closest friends and family.

That's what I believe in. I always believe that you need diversity of friends as well. Because it makes your world more interesting, even in friends.

I mean, if you have a friendship or a circle of friends who only believe in a cult-like kind of culture, that's also not so great. You need to have a few friends who challenge you, right? Like who say no to everything you say.

No, yeah, exactly. I like diversity in friendships. We talk about politics and government so much.

And I think India today has that unique position in the world where I meet investors from different countries. Most of them are very critical about Europe, about the US, about their own

geographies right now. But they're very optimistic on India.

I think you see that also in the fund flow and the interest of money coming into India. Do you think the stability on the top, which India did not have for a long time, but we've had it under the incumbent government, that has created this narrative for India? So I think definitely, I think stable governments make a big difference to the way the world views any country.

Stable governments with stable economic policies is what investors look at, right? Now, obviously, the Modi government has done extremely well. It's been around for a long time and they've basically made sure that economic policies are very stable.

And that really appeals to the outside world, whether it's investors, whether it's other governments trying to work free trade agreements. I think all that augurs very well for us. And I think what we now need to do is to focus on our own internal needs of what we need as a country to grow even faster.

And so there, I think we need, I mean, I think we are doing a terrific job on infrastructure. I think that needs to be scaled up at a very rapid pace. And again, I go back to even our own city.

We have infrastructure that doesn't match the intellectual potential of this city. So it has to match. So infrastructure, yes, a good tick mark there in terms of the country.

I think in terms of economic policies, I would still like to see a convertible rupee sooner than later. Fully capped LACAN converters. I think that would make it a very, very strong.

I also think when it becomes capital account convertible, in my opinion, more money will come in. Exactly. So I think that's a really big need for this country.

And that's where I think the government ought to be focused on. OK, everything else is going well, but this is a crying need. The third thing I think we need is very strong, reliable tax policies for the future.

How do we see tax for industry, for investors, women in the workforce? The number is low in India, very low compared to many geographies across the world. When I think of it as a layman, I think if a country has 100 people, if 50 are men and 50 are women and 50% of the population, only 20% are working, it will have a very direct, natural impact on GDP.

Why do you think it is low? And what do you think needs to change to change that equation around? Well, I think basically it's about societal culture in terms of how they look at employment, how they look at breadwinners, how they perceive women and women's role in society.

You're kind of testament to why it doesn't have to be that way. Yeah, and there are many women like me who prove that it doesn't have to be that way. I think today I'm very happy that ESG has brought in a lot of focus on including women in the economic mainstream.

And let me start with just the venture funding industry, venture capital. You know and I know that if you look at where most of the venture funds go, it is to businesses run by men. That's because the money is in the hands of men and men feel more comfortable investing in ventures run by men.

Women do still find it a big challenge to raise equity, to raise capital, to raise venture capital. And very often I've heard VCs say, we're more impressed with the way this guy is talking about his business than the way this woman is talking about her business. And I think that's unfair because each one will have their own style, but you actually have to look at the fundamentals of that business rather than making a judgment call on whether it's a man or a woman running that.

Do you think there is that predisposition? Absolutely. Even in venture capital?

In venture capital for sure. So I still find that a big challenge and for women because I went through the same thing myself but I still find that it still remains even today. But having said that, I think the world is changing.

I know that today companies are being forced to look at their gender balance. I mean, look at what's happened on our boards. I mean, that's a crying shame.

Today, every company might have one woman on the board because it's statutorily required. But if they didn't have to do that, believe me, you wouldn't have so many women on the boards. And today, why can't you have more than 30-40% of your board as women?

Nothing prevents you from going beyond that one person. That's because there are not enough women who are noticed. You will only appoint the same five women.

It's like in philanthropy, they're always targeting 10 philanthropists for everything. And I'm saying you got to broaden the base. The same thing happens to women on professional women and women on boards.

So I think it's a matter of time. I'm very confident that in 10 years time, there'll be a huge difference because I know companies like ours and I'm guilty of that. I mean, I'm a woman at the helm but when I look at the women who work in my companies, I'm ashamed to say that when I look at my shop floor, there are only about 10% women on the shop floor.

I'm now deliberately trying to force that ratio to increase to at least 30%. And I think it's beginning to happen. And that's because I've put it as a KRA for my leadership team, saying if you don't have enough women in a leadership role or in the makeup of your department, you're going to lose a lot of your evaluation marks.

Do you find it harder to hire women? If you were to put a job posting and you got 100 applications, how many would be men and how many would be women? Actually, it depends on

what job you're interviewing.

Like jobs in bioeconomy. So in R&D, I have no problems. In fact, even right now, more than 40% of my researchers are women.

So there it's not such a difficult thing. I guess HR is the same. You know, you'll find a lot of women getting into HR.

But I'm now challenging my people in terms of marketing, you know, sales and marketing and pharmaceuticals. That is like 90% men, which I find really not acceptable. Isn't that the opposite in US?

Pharmaceutical sales reps are mostly women. Not necessary. There are still a lot of men.

So not the sales reps. Marketing, there are a lot of women, but sales reps still end up being, I mean, the percentage is much higher in the US. It's about 40%.

Here, it's only 10%. But I'm trying to increase that. I said, why can't women go and be sales reps?

Manufacturing is where I find it very difficult. And I'm saying, hey guys, if Ola can have 100% women on their shop floor, what's wrong with us? So today, after all that kind of discussions, I'm happy that many parts of our organization have got 100% women on the shop floor in certain parts of our manufacturing.

So I said, let's change the balance. So there's no excuse. Yes, we did have a problem in the pharmaceutical industry where they would only allow one shift for women.

So when it's just a general shift, then it's unfair on the men that all the women only get to come on the general shift and all the men have to come on night shifts. So I think that now has changed. The government has allowed women to work in other shifts.

So that is going to now change the dynamics. So coming back to Biocon, we were at 2005, IPO has happened. Company went from being a hundred crore company to a billion dollar company very quickly in a few years.

What happened next? Well, then, of course, the business grew. I started creating another business, which is Biosimilars and that became a very big business.

Syngene? No, that was Biocon Biologics. Syngene was created in 1993.

OK. But we took it public in 2015. In 2007, I actually divested the enzyme business.

And that's another thing that I wanted to mention, that as an entrepreneur, you have to take some hard decisions. Don't be wedded to a historic business. If that business can be monetized and if someone else can make a bigger business of that business divested.

I knew I was not going to invest more in enzymes. I was going to make all my investments in biopharmaceuticals. Why was that?

Because biopharmaceuticals needed huge investments. And I knew I was going to ignore and neglect enzymes because even enzymes needed a lot of investment to grow. But then I had to make that choice.

Right. Where was I going to make the bigger investments? I was going to make the bigger investments in biopharmaceuticals.

So I felt that if that was the case, then it's not fair to hang on to a historic business and stunt it. And that's where I decided, OK, let me divest this business. And I divested it to my biggest competitor, Novozymes, which was the Danish company I used to compete with worldwide.

And they always told me, they said, you know, interestingly, India was the only country where you were number one. And therefore, they gladly bought my business. I got a huge return on that investment.

And of course, a lot of that investment, I mean, a lot of that returns I got was because of the IP I had created for enzymes. And that is what also told me that IP is so valuable. Right.

Today, that business has grown five times more. That's because they invested so much on it. And they were telling me that the IP that they bought from me and the enzymes I was making using that proprietary technology has now grown tenfold.

And they still think that's one of the best technologies they bought. So that makes us very proud that, you know, we actually invented a technology that has stood us so well and it is continuing to grow. So it's a very enduring technology that we built.

And from 2005, 2006, up until 2023, what have been the highlights of Biocon? So now the highlight is obviously the biologics business, which is now going, it gives us the opportunity to be the number one biosimilars company in the world now that I've made this acquisition. So last year, I acquired...

What is this very simply? So biosimilars is nothing but, you know, India is very well known for generic medicines. Generic medicines are chemical versions of drugs, right, chemically synthesized drugs.

So you are able to copy a chemically synthesized drug. And when the patent runs out, you're able to then launch the generic version, which obviously is a much lower cost version of that drug. And it just expands the market.

So in the biologic sense, you also have these biopharmaceuticals, which are very complex drugs, not the statins and immunosuppressants, but the insulins, the antibodies. Antibodies are very,

very difficult to copy, let's put it that way. It's like developing a new drug.

So you need to start with a cell line. You need to start with the genetic sequence. You need to make sure that the antibody that you develop actually matches the innovator's antibody.

So it's a very, very innovative process. And so it takes long to develop. Then you have to do a lot of extensive clinical trials to show that they match because it's a biologic drug.

So the dangers of immunological side effects of, you know, the antibodies that can, I mean, because you're developing a monoclonal antibody, it can become very immunogenic if it's not exact and it can cause others kind of. So the way you develop these drugs is very difficult. Therefore, if you look at in India, we are the only company that has managed to develop biosimilars for global markets.

No other Indian company has been able to take their products to the US or Europe. Do you think that is what comes next for Biocon? So we are now, you know, we were partnering a US company in this effort.

So we were doing all the R&D and manufacturing and they were doing the commercial operations in US and Europe. But we were only getting 30% of the value and they were getting 70% of the value. But they were also investing in the business in the same issue.

So the opportunity came where I could actually buy that commercial interest from the company and make it a 100% value capture for me. Was this recently? Recently.

So on the 29th of November last year, we finalized and fructified the deal. It was a $3 billion acquisition. $2 billion in cash and billion in stock in this company.

I think that was the best game-changing acquisition we made because it's going to be transformative for us. It actually allows us to become the number one biosimilars company in the world. We have the broadest portfolio and the deepest pipeline in our research.

And of course, we've now got and we've got eight products approved in global markets. And we just exited at a billion dollar run rate. We expect that to get to $2 billion very fast and thereon and therefore.

So I think there are about $100 billion of biologic drugs coming off patent in the next 10 years. And this is the opportunity we are addressing. So I think this is going to be a big business for Biocon and that's what I'm really focused on to ensure that we don't miss this opportunity.

And then of course, taking that company public is going to be a big opportunity for us. But the value of that is created in Biocon. I mean, Biocon has created two big subsidiaries, one worth $4.5 billion. This is already worth $6 billion, but let's see what we can command when we go to the market. And Biocon, it's not strictly a holding company because it has these two subsidiaries

and it has the generics business embedded in Biocon. So it is a very unique company because it actually captures a lot of value from research to commercialization.

And I think it is a very differentiated stock, which again, the markets don't understand. They keep calling it a holding company, but it's not. It is a biotech stock that straddles research to commercialization.

And it gives you a huge amount of value to cover. So for someone young starting off, both as an entrepreneur or as a career in this industry, how does somebody start off a business around this? So, you know, starting a me too company is easy.

You can do it anywhere. But I think what Bangalore is good at is starting new, innovative biotech ventures. I mentioned my colleagues who started the seaweed based biofuel company.

That was a very innovative idea. But there are many, many, many companies. In fact, Bangalore is home to the largest number of life science startups in the country, very interested to me, unlike Hyderabad.

So you got Pandorum Technologies, which is developing these differentiated stem cell based technologies where you can produce an artificial liver or an artificial organ. Do you have an opinion on CRISPR, the company in America? Yeah, so CRISPR is a very good company, which is, it's gene editing.

Correct. I have a small investment there, which has done terribly in the last four years. No, but it will recover because now is the time CRISPR is going to you know, suddenly come over.

Do you think gene editing should be a thing? Like I know the US does not allow it, but I read a report. Today, CRISPR technologies, you know, Editas, another company that was not doing very well, suddenly is beginning to do well.

Today, a lot of the CRISPR technologies being used in mRNA technologies and what have you. So now CRISPR technologies have suddenly found their calling. So I think you will find that many of these investments will start showing the returns.

Do you believe the dystopian story that some people paint that it will lead to artificially augmented humans and stuff like that? Look, all these predictions are there, but there are going to be regulations that won't allow that to happen. So, you know, you had Dolly the sheep that was created many, many years ago, decades ago.

You know, cloning is still used now in animal breeding, but at what scale? It's a good technology if you want to breed cattle of one species or something like that, you can do it. But I think designer babies is something which is scary.

Not scary, but if you think about it, if you, for instance, today you always do all these scans and

tests, amniotic tests when you're pregnant. And if you find that there is a genetic deficiency in a kid, would you not like to correct it? 100 percent.

So those are the kind of technologies you can use to correct it in the baby. But when the baby is born, it doesn't have the genetic defect, which can be life debilitating. Right.

I think what I think they will allow you to use CRISPR technologies like they use gene therapies today to basically correct genetic deficiencies, but not to choose the kind of baby you want, you know, like saying that, OK, I want my eyes, the eyes to be of this color and the hair to be of this color and the height to be of this. Is that happening already? In some select?

I mean, theoretically, you may be able to do it, but I don't think it's happening. What else can you think of in terms of say somebody wants to start? Let me tell you some of the other companies.

Today, cell and gene therapy companies are coming up in the startup world in India, which I think is very exciting. So I've invested in a company called Immuneel, which has developed a CAR T therapy for untreatable blood cancers. You know, there's a there's a company called Immune Act started by an IIT professor who's also doing a similar thing.

There is now this whole notion of, you know, genomic mapping is becoming so important. So Map My Genome, which was started by a young woman entrepreneur, Anu Acharya. She's been struggling for a long time, but I think today finally she sees that things are happening.

You know, Strand Genomics, which was also a very innovative company, started from by a professor from IISC, Vijay Chandru. He just sold Strand Genomics to Reliance. Reliance wants to invest in biotech.

So I think lots of interesting things are happening. And I see Bugworks is developing these antimicrobial resistant antibiotics. Very, very innovative companies are coming up based on either a combination of AI and life sciences or new devices or new technologies.

I myself spun off a company from Biocon called Bicara, you know, which I took to Boston. And today that's the hottest biotech startup in that Onco field. They just presented at ASCO and huge reception.

I'm glad that innovation came out of our labs in Biocon in Bangalore. So if I were to be a 25-year-old with not too much access to capital or the know-how of much of what you spoke about, and I want to create a startup in this industry, is there a sector that you would kind of like push me towards? If I had to pick just one thing?

I think, you know, biotech is such a vast area that it's very difficult to tell anyone to pick one thing, one part of biotech. No, I think, you know, you have to look at what is your area of interest. Like, you know, in this whole digital world, would I say only go for financial, you know, products?

Or would I say no? I think it's great to also go for, you know, retailing or it's also as exciting to develop an app for X, Y and Z. So, you know, it's very difficult to tell young entrepreneurs just to focus on one area.

But today, all I would say is that the opportunities are limitless. From CRISPR technologies to mRNA vaccines, to, you know, to various kinds of, you know, anti-cancer molecules, to diagnostics, to, you know, to instrumentation, to so many things. And everyone's looking at every possible area.

So, I don't think I would like any entrepreneur to get fixated on one area. But there are lots of these hot areas, like, you know, this genomics, CRISPR, mRNA, you know, just for the first time, I've seen data using an mRNA cancer vaccine for pancreatic cancer, where 50% of the patients are cancer-free after one year, which is amazing. So, look what's happening in the world of medicine.

So, I think the world of medicine is changing rapidly. So, whether it is drug delivery, whether it's diagnostics, whether it's treatments, things are changing very rapidly. But what is happening is that you are now moving into the realm of precision and personalized medicine.

That is an area that we should be looking at. So, when you bring up cancer, it reminds me of one thing, like, it's a compliment to you in front of your face, which is a little awkward, but when my sister-in-law kind of fell sick two years ago, you had never met her. You didn't know her at all.

But I called you one day and I said, this has happened. And you spent 30 minutes on the phone with me, talking to different doctors for at least a month. And I think people who don't know you, it's very hard to get a sense of how special you are.

But that's something I just had to add.

[Speaker 2] (1:54:10 - 1:54:11)

Thank you.

[Speaker 1] (1:54:11 - 1:59:26)

Thank you. No, but, you know, Seema is a very special person. And when I met her, and when you gave me the news, I felt really, really heartbroken because she's such a lovely person, too young to have this happen to her.

And I just felt it was my responsibility to reach out to as many people as possible, to get as many opinions as possible and touch wood, I hope she's fully cured. Kiran, you're now 70, right? I don't feel it.

You don't look it either. You've had some crazy stuff happen in life, like throughout your life. But

as I have witnessed, like, you know, I knew how close you were with your mother.

I knew what John meant to you. And not having kids, but losing your mother and your husband. And I happened to be with you on both of those days.

And I saw how resilient you were in the face of adversity, even when we were at the cremation place and here and there. You were like breaking down, but at no point have I seen you through all of this lose that drive. Like you still are as passionate talking about work today as you were at any other point.

And what is that that keeps you going? You know, I guess you have to be a little philosophical about life. Yes, I was devastated and it's left a huge void in my life.

My life was never going to be the same because the two most special people in my life are no longer with me. And I really miss them every moment. But the fact of the matter is that we all know that life is unpredictable and you have to live your life to the fullest.

My late mother used to say that, look, don't waste your life. Life has a finite time. Make use of every minute.

And the way she said it to me just before she died was she said, Kiran, I'm not going to be there for you forever. And when I go, don't grieve for me. And if you have to grieve for me, don't grieve for too long because you have a lot going for you and you have to make use of your life because there's not enough of time left for you to do everything you want to.

So don't waste life. Life is not to be wasted. It's to be lived, she said.

And that I thought was a very powerful message she gave me. That gave me a lot of strength. And so today, I feel that, yes, all of us have to come to terms with the fact that we just don't know what tomorrow brings.

And we've got to live our life to the fullest. We've got to give life the best we can. And we have to make the most we can in terms of what we're trying to do with our lives.

So if we keep sort of wasting our time, either grieving or feeling sorry for ourselves, then we are wasting our lives. And she worked till the last day, right? She worked till the very last day.

Laundry business and cricket. Correct. Correct.

She was quite an amazing woman. I mean, I owe a lot to her. I think a lot of the spunk that I have in myself is because of my mom's genes.

So the intent with this show was every show should have some kind of an impact in society. And it's not about the quantum of money, but allowing the audience to pick where that charity is happening, I think is a great idea towards getting people involved in communities and in causes

around them. So we will pick a charity.

We will also let the audience pick a charity. Is there an amount that you think we should donate just to get this kick started? Well, anything you say, but maybe 25 lakhs each.

Yeah. So we can do 25 lakhs each, 50 lakhs for this episode. And the audience, please get involved.

Please pick. We want to keep this process as democratic as possible. And this decision will be made based on your choice solely.

So looking forward to seeing how this experiment will play out so we can scale this up and get more people involved in the future as well. Okay. Thank you, Kiran, so much.

Thank you, Nikhil. I think you're always doing something so innovative. Thank you so much.

So I think this is a great way of getting people involved, engaged and doing something for the country. Yeah. And I'm sure the prime minister will be very happy.

Yeah. I hope so too. Thank you so much, Kiran.

Thank you for doing this.